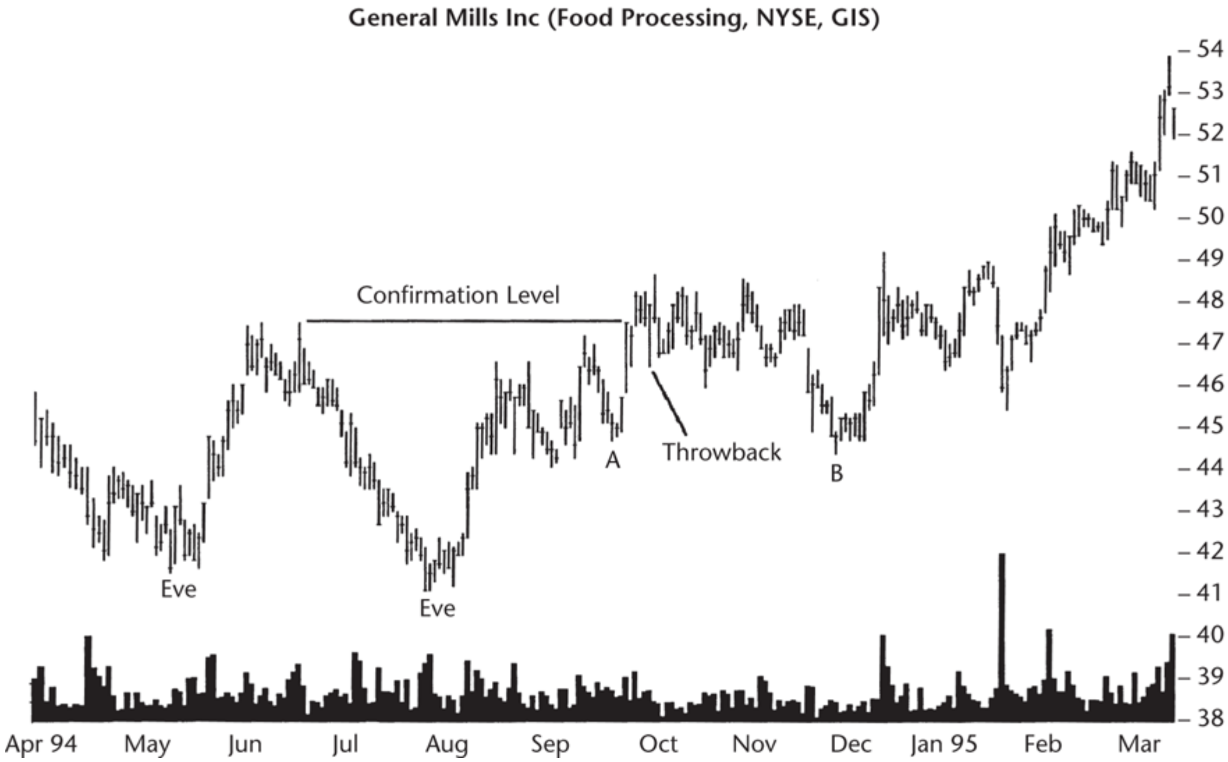

Figure 29.2 Points A and B do not depict a double bottom because there are lower lows to the immediate left of point A.

Rise between bottoms. When I first started studying double bottoms, lots of books said that the rise between the two bottoms should be at least 10%, as measured from the lowest bottom low to the rise high. None of them proved it or said why it's important. I threw away that requirement and decided to let the pattern tell me how tall it should be. I found that taller is better, so the 10% guideline is fine (although I allow many shorter patterns).

Bottom low price. The bottom-to-bottom price variation should be small. The basic rule is that the two bottoms should appear near one another on the price scale. The figure shows a price variation of about 1%. That value matches the median difference, too.

Bottom separation. The two bottoms should be at least a few weeks apart but that's an arbitrary value. Eve turns are frequently wide enough to require a few weeks to complete (not always, of course). Many bottoms in a double bottom are separated by several months, like the one shown. A month is the minimum separation that many professionals view as leading to powerful rallies. I set a lower standard to help verify that this is true. It is.